Registered number: 01820489

# WEXAS LIMITED

## ANNUAL REPORT AND FINANCIAL STATEMENTS

## FOR THE YEAR ENDED 31 DECEMBER 2019

**WEXAS LIMITED**

**COMPANY INFORMATION**

| | |
|---|---|
| **Directors** | Dr I M Wilson<br>M N Wilson<br>J E Wilson<br>G Vaughan-Brown<br>K H Gershon |
| **Company secretary** | Dr I M Wilson |
| **Registered number** | 01820489 |
| **Registered office** | 27-45 Stamford Street<br>London<br>SE1 9NT |
| **Independent auditors** | White Hart Associates (London) Limited<br>Chartered Accountants and Statutory Auditors<br>2nd Floor, Nucleus House<br>2 Lower Mortlake Road<br>Richmond<br>TW9 2JA |

**WEXAS LIMITED**

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## STRATEGIC REPORT
## FOR THE YEAR ENDED 31 DECEMBER 2019

**Introduction**

The directors present their strategic report for the year ended 31 December 2019

**Business review**

The company is required by the Companies Act 2006 to set out in this report, a fair review of the business of the company during the financial year ended 31 December 2019, the position of the company at the end of the year and a description of the principal risks and uncertainties facing the company. This review is prepared solely to provide additional information to shareholders to assess the company's strategies and the potential for those strategies to succeed, and the business review should not be relied upon by any other party or for any other purpose.

**Principal risks and uncertainties**

- The company is exposed to various regulators, including the Civil Aviation Authority ("CAA") which issues an Air Travel Organisers Licence ("ATOL") which is required in order for the company to operate. This license is renewed in September each year and is subject to assessments of fitness and financial criteria, the framework of which is available on the CAA website (www.caa.co.uk).
- Competition - The travel industry is highly competitive and increasingly multi-channel. There is continuing pressure from suppliers to reduce the margins third parties can earn, as they seek to increasingly control their distribution.
- Economic uncertainty - The demand for holidays is affected by local economic conditions. The uncertainty created by the COVID-19 pandemic along with Brexit, and the ensuing volatility in exchange rates and consumer confidence creates a fragile trading environment. Despite the negative impact upon the travel industry, the directors believe that the Company is able to quickly adapt to changes in the local market demand, however a prolonged period of booking slowdown could adversely affect financial results.
- Commercial relationships - The company has well established and close relationships with suppliers and risk is spread by not placing over-reliance on any one supplier in any particular area. However, if a relationship were lost or damaged with a major supplier this could have a detrimental effect on the business. The management team meets regularly with suppliers to maintain good working relationships and to understand the supplier's financial position.
- Information technology - The company is heavily reliant upon information technology. Investment is made to ensure that the company has advanced and efficient systems in place, but there is a risk if there were a major failure - particularly if it were to affect selling systems. Procedures are in place to minimise the time a selling system is unavailable in the event of such a failure.
- Commercial risks - The company's trading performance can be affected by environmental factors, which include
· acts of terrorism, particularly in key tourist destinations:
· weather conditions, both in the UK and in key tourist destinations:
· increases in government taxes in both UK and overseas:
· wars or other international incidents which affect air or sea travel:

**Financial key performance indicators**

The key performance indicators used by the directors to monitor the progress of the company are set out below:-

| | 2019 | *2018* |
|---|---|---|
| | **£** | *£* |
| GROSS RETAIL TURNOVER ("GRT") | **46,641,579** | *46,340,465* |
| Turnover - commission | **21,675,303** | *20,318,323* |
| Turnover as a percentage of GRT | **46.47%** | *43.85%* |
| Gross profit | **7,748,236** | *7,660,412* |
| Gross profit as a percentage of GRT | **16.61%** | *16.53%* |
| EBITDA | **693,336** | *875,531* |
| EBITDA as a percentage of GRT | **1.49%** | *1.89%* |
| Profit on ordinary activities before tax | **457,210** | *617,187* |
| Profit on ordinary activities before tax as a percentage of GRT | **0.98%** | *1.33%* |

The directors are pleased with Wexas' overall performance in the year. The leisure division continues to see strong growth driven by tailor-made operations, with turnover, profit and forward sales at year end similarly up on the prior year. The corporate division saw a small decline in turnover during the year. Wexas has continued to invest in technology with a large project delivered at the end of the year which will support the longer term growth strategy.

This report was approved by the board on 5 May 2020 and signed on its behalf.

Dr I M Wilson
**Director**

## DIRECTORS' REPORT
## FOR THE YEAR ENDED 31 DECEMBER 2019

The directors present their report and the financial statements for the year ended 31 December 2019.

**Directors' responsibilities statement**

The directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies for the Company's financial statements and then apply them consistently;
- make judgments and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors are responsible for the maintenance and integrity of the corporate and financial information on the company's website.

**Principal activity**

Wexas Limited operates as a travel company, providing travel arrangements and associated services for its leisure clients and members through its Wexas brand; selling luxury tailor-made holidays through its The Luxury Holiday Company brand; tailor-made Scandinavian holidays through its Best Served Scandinavia brand; selling cruises thorough its The Luxury Cruise Company Brand; and arranging business travel for its corporate clients through its Wexas Travel Management brand.

**Results and dividends**

The profit for the year, after taxation, amounted to £441,195 *(2018 - £665,203)*.

Interim dividends of £101,250 were paid during the year 2019.

**Directors**

The directors who served during the year were:

Dr I M Wilson
M N Wilson
J E Wilson
G Vaughan-Brown
K H Gershon

**Future developments**

Investment in technology will continue to further improve our service offering in both the leisure and corporate divisions along with efficiencies in the back office. Focus will continue to be growing our tailor-made tour operations in the leisure division whilst acquiring new and retaining existing clients in our corporate division.

**Disclosure of information to auditors**

Each of the persons who are directors at the time when this Directors' Report is approved has confirmed that:

- so far as the director is aware, there is no relevant audit information of which the Company's auditors are unaware, and
- the director has taken all the steps that ought to have been taken as a director in order to be aware of any relevant audit information and to establish that the Company's auditors are aware of that information.

**Post balance sheet events**

There have been no significant events affecting the Company since the year end, except for the outbreak of the Coronavirus pandemic, which has had a significant impact upon the industry in which the Company operates, as described in note 2.2.

**Auditors**

Under section 487(2) of the Companies Act 2006, White Hart Associates (London) Limited will be deemed to have been reappointed as auditors 28 days after these financial statements were sent to members or 28 days after the latest date prescribed for filing the accounts with the registrar, whichever is earlier.

This report was approved by the board on 5 May 2020 and signed on its behalf.

Dr I M Wilson
**Director**

## INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF WEXAS LIMITED

### Opinion

We have audited the financial statements of Wexas Limited (the 'Company') for the year ended 31 December 2019, which comprise the Income Statement, the Statement of Comprehensive Income, the Statement of Financial Position, the Statement of Cash Flows, the Statement of Changes in Equity and the related notes, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland' (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 December 2019 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

### Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the United Kingdom, including the Financial Reporting Council's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

**The impact of uncertainties due to COVID-19 and Britain exiting the European Union on our audit**
Uncertainties related to the effects of COVID-19 and Brexit are relevant to understanding our audit of the financial statements. All audits assess and challenge the resonableness of estimates made by the directors, such as recoverability of investments, intangible assets and related disclosures and the appropriateness of the going concern basis of preparation of the financial statements. All of these depend on assessments of the future economic environment and the company's future prospects and performance.
The COVID-19 pandemic has had an unprecedented impact upon the worldwide economy and in particular upon the travel industry, with many consumers cancelling or delaying travel plans as a result. At the date of this report,the full range of possible effects upon travel companies cannot be estimated or assessed due to the current levels of uncertainty around government and consumer responses to what might happen.
Brexit is one of the most significant economic events of the UK, and at the date of this report its effects are subject to unprecedented levels of uncertainity of outcomes, with the full range of possible effects unknown.
We applied a standard firm-wide approach in response to these uncertainties when assessing the company's future prospects and performance. No audit should be expected to predict the unknown factors or all possible future implications for a company and this is particularly the case in relation to COVID-19 and Brexit.

**Conclusions relating to going concern**

We have nothing to report in respect of the following matters in relation to which the ISAs (UK) require us to report to you where:

- the directors' use of the going concern basis of accounting in the preparation of the financial statements is not appropriate; or
- the directors have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the Company's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

**Other information**

The directors are responsible for the other information. The other information comprises the information included in the Annual Report, other than the financial statements and our Auditors' Report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

**Opinion on other matters prescribed by the Companies Act 2006**

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and the Directors' Report have been prepared in accordance with applicable legal requirements.

**Matters on which we are required to report by exception**

In the light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report or the Directors' Report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

**Responsibilities of directors**

As explained more fully in the Directors' Responsibilities Statement on page 3, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

**Auditors' responsibilities for the audit of the financial statements**

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an Auditors' Report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our Auditors' Report.

**Use of our report**

This report is made solely to the Company's members in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an Auditors' Report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members for our audit work, for this report, or for the opinions we have formed.

Ms N A Spoor ACA FCCA (Senior Statutory Auditor)

for and on behalf of
**White Hart Associates (London) Limited**

Chartered Accountants and Statutory Auditors

2nd Floor, Nucleus House
2 Lower Mortlake Road
Richmond
TW9 2JA

5 May 2020

## INCOME STATEMENT
## FOR THE YEAR ENDED 31 DECEMBER 2019

| | Note | 2019 £ | *2018 £* |
|---|---|---|---|
| Gross Retail Turnover ("GRT") | | **46,641,579** | *46,340,465* |
| Turnover | 4 | **21,675,303** | *20,318,323* |
| Cost of sales | | **(13,927,067)** | *(12,657,911)* |
| **Gross profit** | | **7,748,236** | *7,660,412* |
| Distribution costs | | **(1,159,284)** | *(1,124,428)* |
| Administrative expenses | | **(6,146,189)** | *(5,925,115)* |
| **Operating profit** | 5 | **442,763** | *610,869* |
| Interest receivable and similar income | 9 | **14,447** | *6,318* |
| **Profit before tax** | | **457,210** | *617,187* |
| Tax on profit | 10 | **(16,015)** | *48,016* |
| **Profit for the financial year** | | **441,195** | *665,203* |

The notes on pages 17 to 32 form part of these financial statements.

| | 2019 £ | *2018 £* |
|---|---|---|
| EBITDA-Earnings before interest, taxation, depreciation and amortisation | **693,336** | *875,531* |

## STATEMENT OF COMPREHENSIVE INCOME
## FOR THE YEAR ENDED 31 DECEMBER 2019

| | Note | 2019 £ | *2018 £* |
|---|---|---|---|
| Profit for the financial year | | **441,195** | *665,203* |
| **Other comprehensive income** | | | |
| Foreign exchange reserve movement | | **(2,514)** | *(21,481)* |
| **Other comprehensive income for the year** | | **(2,514)** | *(21,481)* |
| **Total comprehensive income for the year** | | **438,681** | *643,722* |

The notes on pages 17 to 32 form part of these financial statements.

**WEXAS LIMITED**
**REGISTERED NUMBER: 01820489**

## STATEMENT OF FINANCIAL POSITION
## AS AT 31 DECEMBER 2019

| | Note | | 2019 £ | | *2018 £* |
|---|---|---|---|---|---|
| **Fixed assets** | | | | | |
| Intangible assets | 12 | | **43,399** | | *182,278* |
| Tangible assets | 13 | | **431,695** | | *349,374* |
| | | | **475,094** | | *531,652* |
| **Current assets** | | | | | |
| Stocks | 14 | **3,212** | | *24,683* | |
| Debtors: amounts falling due within one year | 15 | **9,853,047** | | *9,679,564* | |
| Cash at bank and in hand | 16 | **5,730,435** | | *4,694,859* | |
| | | **15,586,694** | | *14,399,106* | |
| Creditors: amounts falling due within one year | 17 | **(9,279,276)** | | *(8,688,579)* | |
| **Net current assets** | | | **6,307,418** | | *5,710,527* |
| **Total assets less current liabilities** | | | **6,782,512** | | *6,242,179* |
| Creditors: amounts falling due after more than one year | 18 | | **(217,901)** | | *(14,999)* |
| **Net assets** | | | **6,564,611** | | *6,227,180* |

## STATEMENT OF FINANCIAL POSITION (CONTINUED)
## AS AT 31 DECEMBER 2019

| | Note | 2019 £ | *2018 £* |
|---|---|---|---|
| **Capital and reserves** | | | |
| Called up share capital | 20 | **605,070** | *605,070* |
| Share premium account | 21 | **503,000** | *503,000* |
| Capital redemption reserve | 21 | **100,000** | *100,000* |
| Foreign exchange reserve | 21 | **104,445** | *106,959* |
| Profit and loss account | 21 | **5,252,096** | *4,912,151* |
| | | **6,564,611** | *6,227,180* |

The financial statements were approved and authorised for issue by the board and were signed on its behalf on 5 May 2020.

Dr I M Wilson
**Director**

The notes on pages 17 to 32 form part of these financial statements.

## STATEMENT OF CHANGES IN EQUITY
## FOR THE YEAR ENDED 31 DECEMBER 2019

| | Called up share capital | Share premium account | Capital redemption reserve | Foreign exchange reserve | Profit and loss account | Total equity |
|---|---|---|---|---|---|---|
| | £ | £ | £ | £ | £ | £ |
| At 1 January 2019 | **605,070** | **503,000** | **100,000** | **106,959** | **4,912,151** | **6,227,180** |
| **Comprehensive income for the year** | | | | | | |
| Profit for the year | **-** | **-** | **-** | **-** | **441,195** | **441,195** |
| Foreign exchange reserve movement | **-** | **-** | **-** | **(2,514)** | **-** | **(2,514)** |
| **Other comprehensive income for the year** | **-** | **-** | **-** | **(2,514)** | **-** | **(2,514)** |
| **Total comprehensive income for the year** | **-** | **-** | **-** | **(2,514)** | **441,195** | **438,681** |
| Dividends: Equity capital | **-** | **-** | **-** | **-** | **(101,250)** | **(101,250)** |
| **Total transactions with owners** | **-** | **-** | **-** | **-** | **(101,250)** | **(101,250)** |
| **At 31 December 2019** | **605,070** | **503,000** | **100,000** | **104,445** | **5,252,096** | **6,564,611** |

The notes on pages 17 to 32 form part of these financial statements.

## STATEMENT OF CHANGES IN EQUITY
## FOR THE YEAR ENDED 31 DECEMBER 2018

| | Called up share capital | Share premium account | Capital redemption reserve | Foreign exchange reserve | Profit and loss account | Total equity |
|---|---|---|---|---|---|---|
| | £ | £ | £ | £ | £ | £ |
| At 1 January 2018 | **605,070** | **503,000** | **100,000** | **128,440** | **4,381,948** | **5,718,458** |
| **Comprehensive income for the year** | | | | | | |
| Profit for the year | **-** | **-** | **-** | **-** | **665,203** | **665,203** |
| Foreign exchange reserve movement | **-** | **-** | **-** | **(21,481)** | **-** | **(21,481)** |
| **Other comprehensive income for the year** | **-** | **-** | **-** | **(21,481)** | **-** | **(21,481)** |
| **Total comprehensive income for the year** | **-** | **-** | **-** | **(21,481)** | **665,203** | **643,722** |
| Dividends: Equity capital | **-** | **-** | **-** | **-** | **(135,000)** | **(135,000)** |
| **Total transactions with owners** | **-** | **-** | **-** | **-** | **(135,000)** | **(135,000)** |
| **At 31 December 2018** | **605,070** | **503,000** | **100,000** | **106,959** | **4,912,151** | **6,227,180** |

The notes on pages 17 to 32 form part of these financial statements.

## STATEMENT OF CASH FLOWS
## FOR THE YEAR ENDED 31 DECEMBER 2019

| | 2019<br>£ | *2018*<br>*£* |
|---|---|---|
| **Cash flows from operating activities** | | |
| Profit for the financial year | **441,195** | *665,203* |
| **Adjustments for:** | | |
| Amortisation of intangible assets | **138,879** | *138,879* |
| Depreciation of tangible assets | **111,694** | *125,783* |
| Interest received | **(14,447)** | *(6,318)* |
| Taxation charge | **16,015** | *(48,016)* |
| Decrease in stocks | **21,471** | *-* |
| (Increase)/decrease in debtors | **(91,600)** | *305,278* |
| (Increase) in amounts owed by groups | **(100,411)** | *(65,074)* |
| Increase/(decrease) in creditors | **793,598** | *(267,295)* |
| (Increase) in stocks | **-** | *34,442* |
| **Net cash generated from operating activities** | **1,316,394** | *882,882* |
| **Cash flows from investing activities** | | |
| Purchase of tangible fixed assets | **(194,015)** | *(93,057)* |
| Sale of tangible fixed assets | **-** | *17,420* |
| Interest received | **14,447** | *6,318* |
| **Net cash from investing activities** | **(179,568)** | *(69,319)* |
| **Cash flows from financing activities** | | |
| Dividends paid | **(101,250)** | *(135,000)* |
| **Net cash used in financing activities** | **(101,250)** | *(135,000)* |
| **Net increase in cash and cash equivalents** | **1,035,576** | *678,563* |
| Cash and cash equivalents at beginning of year | **4,694,859** | *4,016,296* |
| **Cash and cash equivalents at the end of year** | **5,730,435** | *4,694,859* |
| **Cash and cash equivalents at the end of year comprise:** | | |
| Cash at bank and in hand | **5,730,435** | *4,694,859* |
| | **5,730,435** | *4,694,859* |

The notes on pages 17 to 32 form part of these financial statements.

## ANALYSIS OF NET DEBT
## FOR THE YEAR ENDED 31 DECEMBER 2019

| | At 1 January 2019 £ | Cash flows £ | At 31 December 201 |
|---|---|---|---|
| Cash at bank and in hand | **4,694,859** | **1,035,576** | **5,730,435** |
| | **4,694,859** | **1,035,576** | **5,730,435** |

The notes on pages 17 to 32 form part of these financial statements.

**NOTES TO THE FINANCIAL STATEMENTS**
**FOR THE YEAR ENDED 31 DECEMBER 2019**

## 1. General information

Wexas Limited is a private company limited by shares and incorporated in England. Its registered office is 27- 45 Stamford Street, London SE1 9NT.

## 2. Accounting policies

### 2.1 Basis of preparation of financial statements

The financial statements have been prepared under the historical cost convention unless otherwise specified within these accounting policies and in accordance with Financial Reporting Standard 102, the Financial Reporting Standard applicable in the UK and the Republic of Ireland and the Companies Act 2006.

The preparation of financial statements in compliance with FRS 102 requires the use of certain critical accounting estimates. It also requires management to exercise judgment in applying the Company's accounting policies (see note 3).

The following principal accounting policies have been applied:

### 2.2 Going concern

The current COVID-19 pandemic has had an unprecedented impact upon the global economy and in particular upon the travel industry, causing many consumers to cancel or amend their holiday arrangements.
Additionally, with the majority of consumers no longer seeking to book holidays until the global situation stabilises, many travel companies are struggling to cope with greatly reduced cash flows. As a result of this, and in addition to already problematic trading conditions, the upcoming ATOL renewal process in September 2020 will likely be very difficult, with regulators seeking measures to ensure that consumer monies are sufficiently protected.
The directors have taken immediate steps to review the Company's financial position, downgraded its forecasts and planned mitigation actions in order to neutralise the financial impact from the significant downturn in trading. The directors have also performed a sensitivity analysis to assess the financial impact of a further slow down in trading from the reforecast and its impact on the liquidity of the business. As a result, the directors believe that it is still appropriate to apply the going concern basis for the foreseeable future.

**2. Accounting policies (continued)**

**2.3 Revenue**

Turnover is recognised to the extent that it is probable that the economic benefits will flow to the Company and the turnover can be reliably measured. Turnover is measured as the fair value of the consideration received or receivable, excluding discounts, rebates, value added tax and other sales taxes. The following criteria must also be met before turnover is recognised:

Turnover for direct clients represents the commission/margin earned on all overseas accommodation and travel arrangements sold, recognised on the date of departure basis where the company is a travel agent plus the gross sales value where the company acts as a tour operator.
Turnover for corporate clients represents the commission/margin earned on all overseas accommodation and travel arrangements sold, recognised on the date of booking basis where the company is a travel agent plus the gross sales value where the company acts as a tour operator.
Turnover is attributable to one continuing activity.
Gross retail turnover (GRT) - GRT which is stated net of value added tax, does not represent the company's statutory turnover. GRT represents the total gross sales amounts receivable in respect of accommodation and travel sales for the year. Section 23 of FRS102 requires the statutory turnover to be the net commission/margin earned.
Trade debtors still represent gross amounts receivable in respect of overseas accommodation and travel sales and trade creditors still represent gross amounts payable in respect of overseas accommodation and travel purchases.

**2.4 Operating leases: the Company as lessee**

Rentals paid under operating leases are charged to the Income Statement on a straight line basis over the lease term.

Benefits received and receivable as an incentive to sign an operating lease are recognised on a straight line basis over the lease term, unless another systematic basis is representative of the time pattern of the lessee's benefit from the use of the leased asset.

**2.5 Research and development**

In the research phase of an internal project it is not possible to demonstrate that the project will generate future economic benefits and hence all expenditure on research shall be recognised as an expense when it is incurred. Intangible assets are recognised from the development phase of a project if and only if certain specific criteria are met in order to demonstrate the asset will generate probable future economic benefits and that its cost can be reliably measured. The capitalised development costs are subsequently amortised on a straight line basis over their useful economic lives, which range from 3 to 6 years.
If it is not possible to distinguish between the research phase and the development phase of an internal project, the expenditure is treated as if it were all incurred in the research phase only.

**2.6 Interest income**

Interest income is recognised in the Income Statement using the effective interest method.

**2. Accounting policies (continued)**

**2.7 Pensions**

**Defined contribution pension plan**

The Company operates a defined contribution plan for its employees. A defined contribution plan is a pension plan under which the Company pays fixed contributions into a separate entity. Once the contributions have been paid the Company has no further payment obligations.

The contributions are recognised as an expense in the Income Statement when they fall due. Amounts not paid are shown in accruals as a liability in the Statement of Financial Position. The assets of the plan are held separately from the Company in independently administered funds.

**2.8 Current and deferred taxation**

The tax expense for the year comprises current and deferred tax. Tax is recognised in the Income Statement, except that a charge attributable to an item of income and expense recognised as other comprehensive income or to an item recognised directly in equity is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the Company operates and generates income.

Deferred tax balances are recognised in respect of all timing differences that have originated but not reversed by the Statement of Financial Position date, except that:

- The recognition of deferred tax assets is limited to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits; and
- Any deferred tax balances are reversed if and when all conditions for retaining associated tax allowances have been met.

Deferred tax balances are not recognised in respect of permanent differences except in respect of business combinations, when deferred tax is recognised on the differences between the fair values of assets acquired and the future tax deductions available for them and the differences between the fair values of liabilities acquired and the amount that will be assessed for tax. Deferred tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

**2. Accounting policies (continued)**

**2.9 Intangible assets**

**Goodwill**

Goodwill represents the difference between amounts paid on the cost of a business combination and the acquirer's interest in the fair value of its identifiable assets and liabilities of the acquiree at the date of acquisition. Subsequent to initial recognition, goodwill is measured at cost less accumulated amortisation and accumulated impairment losses. Goodwill is amortised on a straight line basis to the Income Statement over its useful economic life.

**Other intangible assets**

Intangible assets are initially recognised at cost. After recognition, under the cost model, intangible assets are measured at cost less any accumulated amortisation and any accumulated impairment losses.

All intangible assets are considered to have a finite useful life. If a reliable estimate of the useful life cannot be made, the useful life shall not exceed ten years.

The estimated useful lives range as follows:

| | | | |
|---|---|---|---|
| Goodwill | - | 10 | years |

**2.10 Tangible fixed assets**

Tangible fixed assets under the cost model are stated at historical cost less accumulated depreciation and any accumulated impairment losses. Historical cost includes expenditure that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

Depreciation is charged so as to allocate the cost of assets less their residual value over their estimated useful lives, using the straight-line method.

Depreciation is provided on the following basis:

| | |
|---|---|
| Short-term leasehold property | - over the lease term |
| Plant and machinery | - 20% straight line |
| Fixtures and fittings | - 20% straightline |

The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted prospectively if appropriate, or if there is an indication of a significant change since the last reporting date.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised in the Income Statement.

**2. Accounting policies (continued)**

**2.11 Stocks**

Stocks are stated at the lower of cost and net realisable value, being the estimated selling price less costs to complete and sell. Cost is based on the cost of purchase on a first in, first out basis. Work in progress and finished goods include labour and attributable overheads.

At each reporting date, stocks are assessed for impairment. If stock is impaired, the carrying amount is reduced to its selling price less costs to complete and sell. The impairment loss is recognised immediately in profit or loss.

**2.12 Debtors**

Short term debtors are measured at transaction price, less any impairment. Loans receivable are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method, less any impairment.

**2.13 Cash and cash equivalents**

Cash is represented by cash in hand and deposits with financial institutions repayable without penalty on notice of not more than 24 hours. Cash equivalents are highly liquid investments that mature in no more than three months from the date of acquisition and that are readily convertible to known amounts of cash with insignificant risk of change in value.

In the Statement of Cash Flows, cash and cash equivalents are shown net of bank overdrafts that are repayable on demand and form an integral part of the Company's cash management.

**2.14 Creditors**

Short term creditors are measured at the transaction price. Other financial liabilities, including bank loans, are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method.

**2.15 Provisions for liabilities**

Provisions are made where an event has taken place that gives the Company a legal or constructive obligation that probably requires settlement by a transfer of economic benefit, and a reliable estimate can be made of the amount of the obligation.
Provisions are charged as an expense to the Income Statement in the year that the Company becomes aware of the obligation, and are measured at the best estimate at the Statement of Financial Position date of the expenditure required to settle the obligation, taking into account relevant risks and uncertainties.
When payments are eventually made, they are charged to the provision carried in the Statement of Financial Position.

**2.16 Financial instruments**

The Company only enters into basic financial instrument transactions that result in the recognition of financial assets and liabilities like trade and other debtors and creditors, loans from banks and other third parties, loans to related parties and investments in ordinary shares.

Debt instruments (other than those wholly repayable or receivable within one year), including loans

**2. Accounting policies (continued)**

**2.16 Financial instruments (continued)**

and other accounts receivable and payable, are initially measured at present value of the future cash flows and subsequently at amortised cost using the effective interest method. Debt instruments that are payable or receivable within one year, typically trade debtors and creditors, are measured, initially and subsequently, at the undiscounted amount of the cash or other consideration expected to be paid or received. However, if the arrangements of a short-term instrument constitute a financing transaction, like the payment of a trade debt deferred beyond normal business terms or in case of an out-right short-term loan that is not at market rate, the financial asset or liability is measured, initially at the present value of future cash flows discounted at a market rate of interest for a similar debt instrument and subsequently at amortised cost, unless it qualifies as a loan from a director in the case of a small company, or a public benefit entity concessionary loan.

Financial assets and liabilities are offset and the net amount reported in the Statement of Financial Position when there is an enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

**2.17 Hedge accounting**

The Company uses foreign currency forward contracts to manage its exposure to cash flow risk on its supplier payments. These derivatives are measured at fair value at each balance sheet date.

To the extent the cash flow hedge is effective, movements in fair value are recognised in other comprehensive income and presented in a separate cash flow hedge reserve. Any ineffective portions of those movements are recognised in profit or loss for the year.

Gains and losses on the hedging instruments and the hedged items are recognised in profit or loss for the year. When a hedged item is an unrecognised firm commitment, the cumulative hedging gain or loss on the hedged item is recognised as an asset or liability with a corresponding gain or loss recognised in profit or loss.

**2.18 Dividends**

Equity dividends are recognised when they become legally payable. Interim equity dividends are recognised when paid. Final equity dividends are recognised when approved by the shareholders at an annual general meeting.

**3. Judgments in applying accounting policies and key sources of estimation uncertainty**

Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.
a) Critical judgments in applying the Company's accounting policies
The directors believe that there are no critical judgments involved in applying the Company's accounting policies that warrant disclosure.
b) Key accounting estimates and assumptions
The directors believe that there are no key accounting estimates and assumptions involved in applying the Company's accounting policies that warrant disclosure.

**4. Turnover**

An analysis of turnover by class of business is as follows:

| | **2019** **£** | *2018* *£* |
|---|---|---|
| Turnover as a tour operator | **17,455,785** | *15,957,068* |
| Commission as a travel agent | **3,293,010** | *3,393,405* |
| Subscription | **211,331** | *245,459* |
| Other turnover | **715,177** | *722,391* |
| | **21,675,303** | *20,318,323* |

| | **2019** **£** | *2018* *£* |
|---|---|---|
| United Kingdom | **21,675,303** | *20,318,323* |
| | **21,675,303** | *20,318,323* |

All turnover arose within the United Kingdom.

## 5. Operating profit

The operating profit is stated after charging:

| | 2019<br>£ | *2018*<br>*£* |
|---|---|---|
| Depreciation of tangible fixed assets | **111,694** | *125,783* |
| Amortisation of intangible assets, including goodwill | **138,879** | *138,879* |
| Other operating lease rentals | **406,853** | *287,758* |
| Fees payable to the company's auditor and its associates for the audit of the Company's annual financial statements | **22,000** | *22,000* |
| Defined contribution pension cost | **112,195** | *76,463* |

## 6. Auditors' remuneration

| | 2019<br>£ | *2018*<br>*£* |
|---|---|---|
| Fees payable to the Company's auditor and its associates for the audit of the Company's annual financial statements | **22,000** | *22,000* |

## 7. Employees

Staff costs, including directors' remuneration, were as follows:

| | 2019<br>£ | *2018*<br>*£* |
|---|---|---|
| Wages and salaries | **3,838,902** | *3,784,517* |
| Social security costs | **397,248** | *377,760* |
| Cost of defined contribution scheme | **112,195** | *76,463* |
| | **4,348,345** | *4,238,740* |

The average monthly number of employees, including the directors, during the year was as follows:

| | 2019<br>No. | *2018*<br>*No.* |
|---|---|---|
| Administration | **40** | *42* |
| Sales | **66** | *67* |
| | **106** | *109* |

## 8. Directors' remuneration

| | 2019 £ | *2018 £* |
|---|---|---|
| Directors' emoluments | **300,829** | *312,396* |
| Company contributions to defined contribution pension schemes | **16,913** | *16,500* |
| | **317,742** | *328,896* |

During the year retirement benefits were accruing to 1 director *(2018 - 1)* in respect of defined contribution pension schemes.

The highest paid director received remuneration of £225,023 *(2018 - £237,292)*.

The value of the company's contributions paid to a defined contribution pension scheme in respect of the highest paid director amounted to £16,913 *(2018 - £16,500)*.

## 9. Interest receivable

| | 2019 £ | *2018 £* |
|---|---|---|
| Other interest receivable | **14,447** | *6,318* |
| | **14,447** | *6,318* |

## 10. Taxation

| | 2019 £ | *2018 £* |
|---|---|---|
| **Total current tax** | **-** | *-* |
| **Deferred tax** | | |
| Charged to profit and loss account | **16,015** | *(48,016)* |
| **Total deferred tax** | **16,015** | *(48,016)* |
| **Taxation on profit/(loss) on ordinary activities** | **16,015** | *(48,016)* |

**10. Taxation (continued)**

**Factors affecting tax charge for the year**

The tax assessed for the year is lower than *(2018 - lower than)* the standard rate of corporation tax in the UK of 19% *(2018 - 19%)*. The differences are explained below:

| | 2019<br>£ | *2018*<br>*£* |
|---|---|---|
| Profit on ordinary activities before tax | **457,210** | *617,187* |
| Profit on ordinary activities multiplied by standard rate of corporation tax in the UK of 19% (2018 - 19%) | **86,870** | *117,266* |
| **Effects of:** | | |
| Expenses not deductible for tax purposes, other than goodwill amortisation and impairment | **2,704** | *2,221* |
| Capital allowances for year in excess of depreciation | **8,792** | *(848)* |
| Utilisation of tax losses | **(22,424)** | *(12,272)* |
| Adjustment in research and development tax credit leading to an increase (decrease) in the tax charge | **(73,361)** | *(106,367)* |
| Deferred tax | **16,015** | *(48,016)* |
| Other differences leading to an increase (decrease) in the tax charge | **(2,581)** | - |
| **Total tax charge for the year** | **16,015** | *(48,016)* |

**Factors that may affect future tax charges**

There were no factors that may affect future tax charges.

**11. Dividends**

| | 2019<br>£ | *2018*<br>*£* |
|---|---|---|
| Interim dividends paid | **101,250** | *135,000* |
| | **101,250** | *135,000* |

## 12. Intangible assets

| | Goodwill |
|---|---|
| | £ |
| **Cost** | |
| At 1 January 2019 | **1,487,571** |
| At 31 December 2019 | **1,487,571** |
| **Amortisation** | |
| At 1 January 2019 | **1,305,293** |
| Charge for the year on owned assets | **138,879** |
| At 31 December 2019 | **1,444,172** |
| **Net book value** | |
| At 31 December 2019 | **43,399** |
| ***At 31 December 2018*** | *182,278* |

Goodwill is being written off in equal instalments over its estimated economic life of 10 years.

## 13. Tangible fixed assets

| | Short-term leasehold property | Plant and machinery | Fixtures and fittings | Total |
|---|---|---|---|---|
| | £ | £ | £ | £ |
| **Cost or valuation** | | | | |
| At 1 January 2019 | **160,538** | **2,231,215** | **113,795** | **2,505,548** |
| Additions | **-** | **194,015** | **-** | **194,015** |
| At 31 December 2019 | **160,538** | **2,425,230** | **113,795** | **2,699,563** |
| **Depreciation** | | | | |
| At 1 January 2019 | **86,550** | **2,010,290** | **59,334** | **2,156,174** |
| Charge for the year on owned assets | **17,556** | **81,366** | **12,772** | **111,694** |
| At 31 December 2019 | **104,106** | **2,091,656** | **72,106** | **2,267,868** |
| **Net book value** | | | | |
| At 31 December 2019 | **56,432** | **333,574** | **41,689** | **431,695** |
| ***At 31 December 2018*** | *73,988* | *220,925* | *54,461* | *349,374* |

The net book value of land and buildings may be further analysed as follows:

| | 2019 | *2018* |
|---|---|---|
| | £ | *£* |
| Short leasehold | **56,432** | *73,988* |
| | **56,432** | *73,988* |

## 14. Stocks

| | 2019 | *2018* |
|---|---|---|
| | £ | *£* |
| Marketing merchandise | **3,212** | *24,683* |
| | **3,212** | *24,683* |

## 15. Debtors

| | 2019 £ | 2018 £ |
|---|---|---|
| Trade debtors | **1,192,067** | *1,176,254* |
| Amounts owed by group undertakings | **5,090,840** | *4,990,429* |
| Other debtors | **150,266** | *184,666* |
| Prepayments and accrued income | **3,299,384** | *3,189,197* |
| Deferred taxation | **16,045** | *32,060* |
| Financial instruments | **104,445** | *106,958* |
| | **9,853,047** | *9,679,564* |

Included in prepayments and accrued income is the sum of £3,076,942 (2018 - £3,018,913) which relates to deferred cost of sales for departures from 1 January 2020 onwards.

## 16. Cash and cash equivalents

| | 2019 £ | 2018 £ |
|---|---|---|
| Cash at bank and in hand | **5,730,435** | *4,694,859* |
| | **5,730,435** | *4,694,859* |

## 17. Creditors: Amounts falling due within one year

| | 2019 £ | 2018 £ |
|---|---|---|
| Trade creditors | **563,010** | *517,949* |
| Other taxation and social security | **152,583** | *98,788* |
| Other creditors | **68,076** | *121,468* |
| Accruals and deferred income | **8,495,607** | *7,950,374* |
| | **9,279,276** | *8,688,579* |

Included in accruals and deferred income is the sum of £6,670,780 (2018 - £6,265,433) which relates to deferred revenue for departures from 1 January 2020 onwards.

## 18. Creditors: Amounts falling due after more than one year

| | 2019 £ | *2018 £* |
|---|---|---|
| Other creditors | **217,901** | *14,999* |
| | **217,901** | *14,999* |

## 19. Deferred taxation

| | 2019 £ | *2018 £* |
|---|---|---|
| At beginning of year | **32,060** | *(15,956)* |
| Charged to profit or loss | **(16,015)** | *48,016* |
| **At end of year** | **16,045** | *32,060* |

The deferred tax asset is made up as follows:

| | 2019 £ | *2018 £* |
|---|---|---|
| Accelerated capital allowances | **32,060** | *(15,956)* |
| Charged to profit and loss | **(16,015)** | *48,016* |
| | **16,045** | *32,060* |

## 20. Share capital

| | 2019 £ | *2018 £* |
|---|---|---|
| **Authorised, allotted, called up and fully paid** | | |
| 99,998,000 *(2018 - 99,998,000)* A Ordinary shares of $0.01 each | **605,058** | *605,058* |
| 500 *(2018 - 500)* B Ordinary shares of $0.01 each | **3** | *3* |
| 500 *(2018 - 500)* C Ordinary shares of $0.01 each | **3** | *3* |
| 500 *(2018 - 500)* D Ordinary shares of $0.01 each | **3** | *3* |
| 500 *(2018 - 500)* E Ordinary shares of $0.01 each | **3** | *3* |
| | **605,070** | *605,070* |

## 21. Reserves

**Share premium account**

Share premium is the amount by which the amount received by the company for a share issue exceeds its nominal value.

**Foreign exchange reserve**

Foreign exchange reserve relates to the amount of gain or loss recognised on forward contracts and derivatives that are cash flow hedges for committed foreign exchange transactions occurring in the 12 months post year end.

**Profit and loss account**

The profit and loss account represents the net distributable reserves of the company at the date of the statement of financial position.

## 22. Contingent liabilities

At 31 December 2020, there were contingent liabilities outstanding in respect of counter indemnities given by the company, in the normal course of business, to the company's bond insurance obligors in respect of ABTA travel bonds amounting to £312,854 (2018 - £255,070).

## 23. Pension commitments

The company operates a defined contribution pension scheme. The assets of the scheme are held seperately from those of the company in an independently administered fund. The pension charge represents contributions payable by the company to the fund and amounted to £112,195 (2018: 76,463).Outstanding contributions amounted to £ 19,892 (2018: £ nil) at the year end

## 24. Commitments under operating leases

At 31 December 2019 the Company had future minimum lease payments under non-cancellable operating leases as follows:

| | **2019** **£** | *2018* *£* |
|---|---|---|
| Not later than 1 year | **232,086** | *223,210* |
| Later than 1 year and not later than 5 years | **545,127** | *654,212* |
| Later than 5 years | **27,500** | - |
| | **804,713** | *877,422* |

## 25. Transactions with directors

The following advances and credits to directors subsisted during the years ended 31 December 2019 and 31 December 2018:

**Dr I M Wilson**

| | 2019 £ | *2018 £* |
|---|---|---|
| Balance outstanding at start of the year | **269** | *522* |
| Amount advanced | **2,311** | *6,594* |
| Amounts repaid | **(2,580)** | *(6,847)* |
| **Balance outstanding** | **-** | *269* |

Loan to Dr I M Wilson was interest free, unsecured advance against expenses incurred.

## 26. Related party transactions

Wexas Investments Limited - a company 100% owned by the same parent Rivers (Holdings) Limited. Intercompany balance due from the related party, at the year end (included in debtors due within one year) amounted to £5,090,840 (2018: £4,990,429).

## 27. Holding company

The immediate and ultimate holding company is Rivers (Holdings) Limited, a company registered in Seychelles whose registered office is situated at Suite 202, Sham Peng Tong Plaza, Victoria, Mahe, Seychelles and its registered number is 114492. Rivers (Holdings) Limited is ultimately controlled by Clifton Trust Limited.

## 28. Cross company guarantee undertaking

There is an unlimited joint cross company guarantee with Wexas Investments Limited, a fellow subsidiary undertaking of Rivers (Holdings) Limited.

## 29. Debenture

On 25 July 2019 a fixed and floating charge in favour of Coutts & Company created on 19 July 2011 was discharged.